

Companies of this *B* group are usually somewhat harder for the investor to recognize than those of the *A* or institutional type. Therefore it might be worthwhile to furnish a brief description of one or two such companies which I have had the opportunity to observe rather closely and which could be considered typical examples.

Let us see what I said about such companies in the original edition and how they appear today. The first *B* company to which I referred was P. R. Mallory. I said:

“P. R. Mallory & Co., Inc., enjoys a surprising degree of internal diversification. Its principal products are components for the electronic and electrical industries, special metals, and batteries. For its more important product lines it is a major factor in the respective industries, and in a few of them it is the largest producer. Many of its product lines, such as electronic components and special metals, serve some of the most rapidly growing segments of American industry, giving indications that Mallory's growth should continue. In ten years sales have increased almost four-fold to a volume of about \$80,000,000 in 1957, with about one-third of this increase resulting from carefully planned outside acquisitions and about two-thirds from internal growth.

“Profit margins over this period have been a bit lower than would normally be considered satisfactory for a company of this *B* group, but part of this is attributable to above-average expenditures on research. More significantly, steps have been taken which are beginning to show indications of important improvement in this factor. Management has demonstrated considerable ingenuity under a dynamic president, and in recent years has been increasing importantly in depth. Mallory shares enjoyed about a five-fold increase in value during the ten-year period of 1946 to 1956, frequently selling around fifteen times current earnings.

“Perhaps investment-wise one of the most important factors about Mallory lies not within the company itself but in its anticipated one-third interest in the Mallory-Sharon Metals Corporation. This company is being planned as a combination of the Mallory-Sharon Titanium Corporation—half of which is owned by P. R. Mallory & Co., and which has already proved to be an interesting venture for Mallory—and National Distillers' operations in the